

★ = high chance of appearing (ranked against past IBPS PO Mains papers and 2026 bank exams). Each answer is followed by the key fact and its source. Marking: +1.2 right, -0.30 wrong.

**1. The Monetary Policy Committee (MPC) of the RBI is constituted under which section of the RBI Act, 1934?**

**Ans (B) Section 45ZB**

Section 45ZB provides for the six-member MPC. Section 45ZA covers the inflation target set by the Central Government.

**2. Which of the following best distinguishes the Standing Deposit Facility (SDF), introduced in April 2022, from the fixed-rate reverse repo?**

**Ans (C) SDF absorbs liquidity without RBI having to provide collateral in return**

SDF (enabled by the 2018 amendment to Sec 17 of the RBI Act) needs no collateral. It replaced the fixed reverse repo (now 3.35%) as the floor of the LAF corridor.

**3. Which of the following is NOT a tenor at which Government of India Treasury Bills are currently issued?**

**Ans (C) 273 days**

Gol T-bills are issued at a discount in 91-, 182- and 364-day tenors. The 14-day intermediate T-bills are only for state governments.

**4. Commercial Paper (CP) in India can be issued for a minimum and maximum maturity of:**

**Ans (C) 7 days and 1 year**

Under RBI's CP directions, CP is issued in multiples of Rs 5 lakh with a maturity of 7 days to 1 year.

**5. Under the Positive Pay System for the Cheque Truncation System, in effect since 1 January 2021, banks must enable the facility for all account holders issuing cheques of what amount and above?**

**Ans (D) Rs 50,000**

Positive Pay is enabled for cheques of Rs 50,000 and above, at the customer's discretion. Banks may make it mandatory for Rs 5 lakh and above.

**6. RBI moved cheque clearing under CTS from batch processing to 'Continuous Clearing and Settlement on Realisation' (Phase 1) with effect from:**

**Ans (C) 4 October 2025**

Phase 1 began on 4 Oct 2025: cheques presented 10 AM-4 PM, with drawee confirmation by 7 PM. Phase 2 (T+3 hours), due 3 Jan 2026, was postponed until further notice on 24 Dec 2025.

**7. Under RBI's early-warning framework for loans, an account whose principal or interest is overdue for 61 to 90 days is classified as: ★**

**Ans (A) SMA-2**

For loans, SMA-0 is up to 30 days, SMA-1 is 31-60 days and SMA-2 is 61-90 days overdue. Beyond 90 days the account becomes an NPA.

**8. The SARFAESI Act, 2002 does not apply where the amount due is less than what percentage of the outstanding principal and interest?**

**Ans (A) 20%**

Section 31(j) excludes cases where the amount due is below 20% of principal and interest. The Act also does not apply to loans below Rs 1 lakh (Sec 31(h)).

**9. Under RBI's Basel III capital regulations, the minimum total capital (CRAR) an Indian bank must maintain, including the Capital Conservation Buffer, is: ★**

**Ans (A) 11.5%**

Minimum CRAR is 9% (the BCBS norm is 8%). Adding the 2.5% CCB gives 11.5%. The CET1 minimum is 5.5%, or 8% with the CCB.

**10. RBI's minimum Leverage Ratio requirement for Domestic Systemically Important Banks (D-SIBs) is:**

**Ans (A) 4%**

RBI requires a 4% leverage ratio for D-SIBs and 3.5% for other banks, against the Basel minimum of 3%.

**11. In RBI's D-SIB list released in December 2025, State Bank of India is placed in Bucket 4. What additional CET1 requirement applies to it?**

**Ans (C) 0.80% of RWAs**

The 2 Dec 2025 list kept the 2024 buckets: SBI (Bucket 4, 0.80%), HDFC Bank (Bucket 2, 0.40%) and ICICI Bank (Bucket 1, 0.20%). This is on top of the CCB.

**12. Under RBI's revised Priority Sector Lending directions effective 1 April 2025, what is the target for lending to 'weaker sections' by domestic commercial banks?**

**Ans (B) 12% of ANBC or CEOBSE**

Under the PSL Master Directions 2025 the weaker-sections target is 12% (up from 10%). The overall target stays at 40% and agriculture at 18%.

**13. After RBI's 2025 revisions to PSL targets, which category of banks has the highest overall PSL target of 75% of ANBC?**

**Ans (A) Regional Rural Banks**

RRBs stay at 75%. SFBs were cut from 75% to 60% (20 June 2025) and UCBs are at 60%. Domestic SCBs and large foreign banks are at 40% (PSL Master Directions 2025).

**14. Under the DICGC (Amendment) Act, 2021, when a bank is placed under all-inclusive directions, depositors must receive interim payment up to the insured limit within: ★**

**Ans (B) 90 days**

The Act mandates payout within 90 days. Deposit cover has been Rs 5 lakh per depositor per bank since 4 Feb 2020 (DICGC).

**15. Under RBI's Scale-Based Regulation (SBR) framework for NBFCs, which layer is ideally expected to remain empty?**

**Ans (A) Top Layer**

SBR (effective 1 Oct 2022) has Base, Middle, Upper and Top layers. An NBFC moves to the Top Layer only if RBI sees extreme systemic risk.

**16. After the 'One State, One RRB' amalgamation effective 1 May 2025, the number of Regional Rural Banks in India fell from 43 to:**

**Ans (B) 28**

26 RRBs in 10 states were merged into 11, leaving 28 RRBs in 26 states and 2 UTs (Finance Ministry notification, April 2025).

**17. Deposit accounts that have not been operated for how many years are transferred by banks to RBI's Depositor Education and Awareness (DEA) Fund?**

**Ans (B) 10 years**

Under Sec 26A of the BR Act (DEA Fund, 2014), unclaimed deposits of 10 years or more go to the Fund. Depositors can still claim them, and RBI's UDGM portal helps them search.

**18. Under the Banking Laws (Amendment) Act, 2025, whose nomination provisions came into force on 1 November 2025, a depositor can nominate up to how many persons for a deposit account? ★**

**Ans (C) Four**

Deposits can have up to four nominees, simultaneous or successive. Articles in safe custody and lockers allow only successive nomination (MoF, 23 Oct 2025).